# Credit memo: B&G FOODS, INC.

Fiscal year ending 2026-01-03 · generated 2026-11-04T19:48:34Z · writer template

**ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.**

## Executive view

B&G FOODS, INC. is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2026-01-03 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

## Business and financial profile

Revenue was USD 1,829m, down 5.4% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 163m, a margin of 8.9%, against -5.6% a year earlier.[11–13] Operating cash flow of USD 101m covered capital expenditure of USD 30.6m, leaving simple free cash flow of USD 70.7m.[14–16] Gross debt stood at USD 1,950m and cash at USD 56.3m, for net debt of USD 1,894m.[17–19] Net debt was 11.59x EBITDA and EBITDA covered interest 1.10x.[20–21]

## Credit strengths

The business generated positive free cash flow of USD 70.7m.[16] Liquidity is solid, with a current ratio of 3.32x.[22]

## Key risks

Leverage is high at 11.59x net debt to EBITDA.[20] Interest cover is thin at 1.10x EBITDA.[21] Revenue fell 5.4% year on year.[10] Some inputs were derived or approximated (2 data warnings); see the evidence appendix.[23]

## Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 80.8%, in the high screening band.[24–25] The largest contributions came from stress tests already failed this year (raising the score) and net debt to EBITDA (raising the score).[26–27] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[28–29] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

## Proposed facility and stress cases

After the facility, gross debt rises to USD 2,050m and net debt to EBITDA moves to 12.20x, with EBITDA cover of 1.05x.[30–32] In the downside case (EBITDA -20%, rates +200 bp) net leverage reaches 15.26x and cover falls to 0.83x.[33–35] In the severe case (EBITDA -35%, rates +400 bp) net leverage reaches 18.78x and cover 0.67x.[36–38] Against a maximum net leverage of 3.50x, the covenant is breached even in the base case, by 8.70x, widening to 11.76x in the downside.[39–41] Against a minimum EBITDA cover of 3.00x, the covenant is breached even in the base case, by 1.95x, widening to 2.17x in the downside.[42–44] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

## Credit considerations and diligence questions

Is a maximum net leverage covenant of 3.50x appropriate given the downside headroom?[39] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

# Evidence appendix

| # | Item | Value | Source |
|---|---|---|---|
| 1 | Borrower | B&G FOODS, INC. | SEC XBRL companyfacts |
| 2 | Facility amount | USD 100m | Analyst input in the loan lab |
| 3 | Tenor | 5-year | Analyst input in the loan lab |
| 4 | Structure | floating-rate bullet | Analyst input in the loan lab |
| 5 | All-in coupon | 6.0% | Analyst input in the loan lab |
| 6 | Use of proceeds | capital expenditure | Analyst input in the loan lab |
| 7 | Fiscal year end | 2026-01-03 | SEC XBRL companyfacts |
| 8 | Data source | SEC 10-K XBRL filings | SEC XBRL companyfacts |
| 9 | Revenue (2026) | USD 1,829m | 10-K XBRL RevenueFromContractWithCustomerExcludingAssessedTax, accession 0001104659-26-022961, filed 2026-03-03 |
| 10 | Size of revenue change | 5.4% | Formula \|revenue_t / revenue_t-1 - 1\| (v1.0.0) |
| 11 | EBITDA (approx.) (2026) | USD 163m | Formula operating_income + depreciation_amortization (v1.0.0) |
| 12 | EBITDA margin (2026) | 8.9% | Formula ebitda / revenue (v1.0.0) |
| 13 | EBITDA margin (2024) | -5.6% | Formula ebitda / revenue (v1.0.0) |
| 14 | Operating cash flow (2026) | USD 101m | 10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0001104659-26-022961, filed 2026-03-03 |
| 15 | Capital expenditures (2026) | USD 30.6m | 10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0001104659-26-022961, filed 2026-03-03 |
| 16 | Free cash flow (CFO – capex) (2026) | USD 70.7m | Formula cfo - capex (v1.0.0) |
| 17 | Gross debt (2026) | USD 1,950m | Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0) |
| 18 | Cash and equivalents (2026) | USD 56.3m | 10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001104659-26-022961, filed 2026-03-03 |
| 19 | Net debt (2026) | USD 1,894m | Formula gross_debt - unrestricted_cash (v1.0.0) |
| 20 | Net debt / EBITDA (2026) | 11.59x | Formula net_debt / ebitda (v1.0.0) |
| 21 | EBITDA / interest (2026) | 1.10x | Formula ebitda / interest_expense (v1.0.0) |
| 22 | Current ratio (2026) | 3.32x | Formula current_assets / current_liabilities (v1.0.0) |
| 23 | Data-quality warnings | 2 | Data-quality checks |
| 24 | Next-FY accounting-stress probability | 80.8% | Neural stress model stress_mlp_v1; inputs as of 2026-03-03 |
| 25 | Screening band | high | Neural stress model stress_mlp_v1; inputs as of 2026-03-03 |
| 26 | Model driver 1 | stress tests already failed this year (raising the score) | Neural stress model stress_mlp_v1; inputs as of n/a |
| 27 | Model driver 2 | net debt to EBITDA (raising the score) | Neural stress model stress_mlp_v1; inputs as of n/a |
| 28 | Model held-out PR-AUC | 0.805 | Frozen test-window evaluation (model card) |
| 29 | XGBoost benchmark PR-AUC | 0.825 | Frozen test-window evaluation (model card) |
| 30 | Base case gross debt | USD 2,050m | Loan engine v1.0.0, base case |
| 31 | Base case net debt / EBITDA | 12.20x | Loan engine v1.0.0, base case |
| 32 | Base case EBITDA / interest | 1.05x | Loan engine v1.0.0, base case |

| # | Item | Value | Source |
|---|---|---|---|
| 33 | Downside case assumptions | EBITDA -20%, rates +200 bp | Loan engine v1.0.0, downside case |
| 34 | Downside case net debt / EBITDA | 15.26x | Loan engine v1.0.0, downside case |
| 35 | Downside case EBITDA / interest | 0.83x | Loan engine v1.0.0, downside case |
| 36 | Severe case assumptions | EBITDA -35%, rates +400 bp | Loan engine v1.0.0, severe case |
| 37 | Severe case net debt / EBITDA | 18.78x | Loan engine v1.0.0, severe case |
| 38 | Severe case EBITDA / interest | 0.67x | Loan engine v1.0.0, severe case |
| 39 | Covenant: maximum net leverage | 3.50x | Analyst input in the loan lab |
| 40 | Base case covenant shortfall (max net leverage) | 8.70x | Loan engine v1.0.0, base case |
| 41 | Downside case covenant shortfall (max net leverage) | 11.76x | Loan engine v1.0.0, downside case |
| 42 | Covenant: minimum EBITDA cover | 3.00x | Analyst input in the loan lab |
| 43 | Base case covenant shortfall (min ebitda interest cover) | 1.95x | Loan engine v1.0.0, base case |
| 44 | Downside case covenant shortfall (min ebitda interest cover) | 2.17x | Loan engine v1.0.0, downside case |

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